PRESENTATION AND DISCLOSURE

Learning Outcome

- describe the financial statement presentation of and disclosures relating to long-term liabilities and share-based compensation

This lesson examines the presentation and disclosure requirements for leases, postretirement benefits, and share-based compensation. These disclosures are typically included as notes to the financial statements.

Presentation and Disclosure of Leases

Both IFRS and US GAAP indicate that the objective of lease disclosure is to provide the user of the financial statement with information to assess the amount, timing and uncertainty of cash flows associated with leases.

The non-current portion of the balance sheet will typically contain a “right of use” asset and the non-current (long-term) liabilities section will typically show the lease liability. However, depending on the size of leased assets and lease obligations, some companies may not have discrete lease line items on the balance sheet and instead will report leases in “Other assets” or “Other liabilities.” In addition to amounts reported on the balance sheet, both lessees and lessors must disclose quantitative and qualitative information about its leases, significant judgments made to comply with lease accounting requirements and the amounts recognized in the financial statements relating to those leases and their location on the statements.

Lessee Disclosure

Specifically, as indicated in IFRS 16, lessee disclosures must include the following amounts for the current reporting period:

- the carrying amount of right of use assets and the end of the reporting period by class of underlying asset;
- total cash outflow for leases;
- interest expense on lease liabilities;
- depreciation charges for right-of-use assets by class of underlying asset; and
- additions to right of use assets.

In addition, lessees should disclose a maturity analysis of lease liabilities (separately from the maturity analysis of other financial liabilities like bonds and loans) and additional quantitative and qualitative information about leasing activity to enable users of financial statements to assess the nature of the lessee’s leasing activities and future cash outflows. This analysis should include the following:

- the nature of the lessee’s leasing activities;
- future cash outflows to which the lessee is potentially exposed that are not reflected in the measurement of lease liabilities;
- restrictions or covenants imposed by leases; and
- sale and leaseback transactions.

Exhibit 7 is a reproduction of Apple’s Corp’s lease disclosure in its notes to financial statements.

Exhibit 7:

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The Company has lease arrangements for certain equipment and facilities, including retail, corporate, manufacturing and data center space. These leases typically have original terms not exceeding 10 years and generally contain multiyear renewal options, some of which are reasonably certain of exercise. The Company's lease arrangements may contain both lease and nonlease components. The Company has elected to combine and account for lease and nonlease components as a single lease component for leases of retail, corporate, and data center facilities.

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Payments under the Company's lease arrangements may be fixed or variable, and variable lease payments are primarily based on purchases of output of the underlying leased assets. Lease costs associated with fixed payments on the Company's operating leases were $1.7 billion and $1.5 billion for 2021 and 2020, respectively. Lease costs associated with variable payments on the Company's leases were $12.9 billion and $9.3 billion for 2021 and 2020, respectively. Rent expense for operating leases, as previously reported under former lease accounting standards, was $1.3 billion in 2019.

The Company made $1.4 billion and $1.5 billion of fixed cash payments related to operating leases in 2021 and 2020, respectively. Noncash activities involving right-of-use ("ROU") assets obtained in exchange for lease liabilities were $3.3 billion for 2021 and $10.5 billion for 2020, including the impact of adopting FASB ASU No. 2016-02, Leases (Topic 842) in the first quarter of 2020.

The following table shows ROU assets and lease liabilities, and the associated financial statement line items, as of September 25, 2021 and September 26, 2020 (in millions of USD):

Lease-Related Assets and Liabilities	Financial Statement Line Items	2021	2020
Right-of-use assets:			
Operating leases	Other non-current assets	10,087	8,570
Finance leases	Property, plant and equipment, net	861	629
Total right-of-use assets		10,948	9,199
Lease liabilities:			
Operating leases	Other current liabilities	1,449	1,436
	Other non-current liabilities	9,506	7,745
Finance leases	Other current liabilities	79	24
	Other non-current liabilities	769	637
Total lease liabilities		11,803	9,482

Lease liability maturities as of 25 September 2021 are as follows (in millions of USD):

	Operating Leases	Finance Leases	Total
2022	1,629	104	1,733
2023	1,560	123	1,683
2024	1,499	99	1,598
2025	1,251	46	1,297
2026	1,061	26	1,087
Thereafter	5,187	868	6,055
Total undiscounted liabilities	12,187	1,266	13,453
Less: imputed interest	(1,232)	(418)	(1,650)
Total lease liabilities	10,955	848	11,803

The discount rate related to the Company's lease liabilities as of both September 25, 2021 and September 26, 2020 was 2.0%. The discount rates are generally based on estimates of the Company's incremental borrowing rate, as the discount rates implicit in the Company's leases cannot be readily determined.

As of September 25, 2021, the Company had $1.1 billion of future payments under additional leases, primarily for corporate facilities and retail space, that had not yet commenced. These leases will commence between 2022 and 2023, with lease terms ranging from 3 years to 20 years.

Source: Apple Corp. 2021 Annual Report on Form 10-K.

Lessor Disclosure

IFRS 16 specifies different disclosure requirements for lessors. Similar to lessees, lessors must disclose information (either in the notes or the financial statements) that enables users of financial statements to assess the effect that leases have on the financial position, performance, and cash flows of the lessor. At a minimum, lessors should disclose:

- for finance leases,
- the amount of selling profit or loss; and
- finance income on the net investment in the lease; and income relating to variable lease payments not included in the measurement of the lease;
- for operating leases, lease income with separate disclosure for income relating to variable lease payments no based on an index or rate.

In addition, a lessor must provide additional qualitative and quantitative information about its leasing activities, including information to help users assess the nature of the lessor's leasing activities and how the lessor manages risk associated with any rights it retains in the underlying leased assets.

For finance leases, lessors should provide a qualitative and quantitative explanation of significant changes in the carrying amount of the net investment, along with a maturity analysis of the lease payments receivable showing undiscounted lease payments to be received on an annual basis for a minimum of each of the first five years and a total amount for any remaining years

For operating leases, a lessor should disclose disaggregated information about each class of property, plant, and equipment subject to operating leases and disclose a maturity analysis of lease payments showing the undiscounted lease payments to be received on an annual basis for a minimum of each of the first five years and a total of the amounts for the remaining years.

Presentation and Disclosure of Postemployment Plans

Disclosures for defined benefit and defined contribution pension plans are typically included as a note to the financial statements, with disclosures for defined benefit plans being far more extensive. For defined contribution plans, International Accounting Standard 19 (IAS 19) requires issuers to simply disclose the amount recognized on the income statement during the period. Regulators can require more extensive disclosures. For example, the US SEC requires issuers to file a separate annual report on Form 11-K for employee benefit plans that includes audited plan financial statements and descriptions of the plan's structure and holdings.

IAS 19 defines the following objectives for issuers' disclosures of their defined benefit pension plans:

- explain the characteristics of its defined benefit plans and risks associated with them;

the entity's future cash flows.

While IAS 19 is principles-based, giving issuers discretion in how best to achieve the disclosure objectives, it does give several specific prescriptions, requiring issuers to make disclosures, such as the following:

- the nature of benefits provided, the regulatory framework in which the plan operates, governance of the plan, and risks to which the plan exposes the entity;
- a reconciliation from the opening balance to the closing balance of the net pension asset or liability, with separate reconciliations for plan assets and the present value of the defined benefit obligation, showing service costs, interest income or expense, remeasurements, past service costs, contributions to the plan, and other components of the change;
- a sensitivity analysis showing how changes in significant assumptions (such as the discount rate used to measure the defined benefit pension obligation) would affect the amounts reported on the financial statements;
- the composition of plan assets by category, such as equity securities, fixed-income securities, and real estate; and
- indications of the effect of the defined benefit pension plans on the entity's future cash flows.

The disclosures in Exhibit 8 are included in the 2021 Annual Report of Roche AG, a Swiss biopharmaceutical and diagnostics company. Roche provides extensive detail on its postemployment plans in a note to its financial statements titled "Pensions and other postemployment benefits."

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Topics in Long-Term Liabilities and Equity

Exhibit 8:

Roche AG's Pensions and Other Postemployment Benefits

Note 26. Pensions and other post-employment benefits

[Roche AG's] ("Group") objective is to provide attractive and competitive post-employment benefits to employees, while at the same time ensuring that the various plans are appropriately financed and managing any potential impacts on the Group's long-term financial position. Most employees are covered by pension plans sponsored by Group companies. The nature of such plans varies according to legal regulations, fiscal requirements and market practice in the countries in which the employees are employed. Post-employment benefit plans are classified for IFRS as 'defined contribution plans' if the Group pays fixed contributions into a separate fund or to a third-party financial institution and will have no further legal or constructive obligation to pay further contributions. All other plans are classified as 'defined benefit plans'

Defined contribution plans

Defined contribution plans are funded through payments by employees and by the Group to funds administered by third parties. The Group's expenses for these plans were CHF 419 million (2020: CHF 409 million). No assets or liabilities are recognised in the Group's balance sheet in respect of such plans, apart from regular prepayments and accruals of the contributions withheld from employees' wages and salaries and of the Group's contributions. The Group's major defined contribution plan is the US Roche 401(k) Savings Plan.

Defined benefit plans

pensions to retired employees directly from its own financial resources. Plans are usually governed by a senior governing body, such as a Board of Trustees, which is typically composed of both employee and employer representatives. Funding of these plans is determined by local regulations using independent actuarial valuations. Separate independent actuarial valuations are prepared in accordance with the requirements of IAS 19 for use in the Group's financial statements. The Group's major pension plans are located in Switzerland, the US and Germany, which in total account for 85% of the Group's defined benefit obligation (2020: 85%).

Defined Benefit Plans: Income Statement (in millions of CHF)

	2021			2020		
	Pension plans	Other post-employment benefit plans	Total expense	Pension plans	Other post-employment benefit plans	Total expense
Current service cost	695	13	708	644	13	657
Past service cost (income)	(30)	0	(30)	1	0	1
Settlement (gain) loss	0	0	0	(2)	0	(2)
Total operating expenses	665	13	678	643	13	656
Net interest cost of defined benefit plans	53	18	71	78	23	101
Total expense recognized on the income statement	718	31	749	721	36	757

Defined Benefit Plans: Funding Status (in millions of CHF)

	2021			2020		
	Pension plans	Other post-employment benefit plans	Total expense	Pension plans	Other post-employment benefit plans	Total expense
Funded plans:						
Fair value of plan assets	18,817	347	19,164	17,639	328	17,967
Defined benefit obligation	(17,609)	(683)	(18,292)	(18,290)	(757)	(19,047)
Over (under) funding	1,208	(336)	872	(651)	(429)	(1,080)
Unfunded plans:						
Defined benefit obligation	(5,211)	(371)	(5,582)	(5,506)	(396)	(5,902)
Total funding status	(4,003)	(707)	(4,710)	(6,157)	(825)	(6,982)

	plans	plans	expense	plans	plans	expense
Funded plans:						
Limit on asset recognition	(3)	0	(3)	0	0	0
Reimbursement rights	0	108	108	0	118	118
Net recognized asset (liability)	(4,006)	(599)	(4,605)	(6,157)	(707)	(6,864)

Defined Benefit Plans: Cash Flows (in millions of CHF)

	2021	2020
Employer contributions, net of reimbursements – funded plans	(413)	(410)
Benefits paid – unfunded plans	(206)	(191)
Total cash inflow (outflow)	(619)	(601)

Based on the most recent actuarial valuations, the Group expects that employer contributions for funded plans in 2022 will be approximately CHF 411 million, which includes an estimated CHF 10 million of additional voluntary contributions related to the Chugai benefit plans. Benefits paid for unfunded plans in 2022 are estimated to be approximately CHF 204 million, which mostly relate to the German defined benefit plans.

Source: Roche AG 2021 Finance Report.

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Topics in Long-Term Liabilities and Equity

Presentation and Disclosure of Share-Based Compensation

Companies are required to provide disclosures about their share-based compensation programs that enable users of the financial statements to understand the nature and extent of share-based payment arrangements, including the current expected future cash flows and expenses relating to those plans. Issuers typically include these disclosures in a note to the financial statements. As specified in IFRS 2, required disclosures include the following:

- A description of each type of share-based payment arrangement, including its general terms and conditions, such as vesting requirements, the maximum term of options granted and the method of settlement (i.e., cash or equity)
- Details about the number and weighted average exercises price of options, including:
  - the number outstanding at the beginning of the period,
  - granted during the period,
  - forfeited during the period,
  - exercised during the period,
  - expired during the period,
  - outstanding at the end of the period, and
  - exercisable at the end of the period.
- For other equity instruments granted during the period (i.e., other than share options), the number and weighted average fair value of those equity instruments at the measurement date, and information on how that fair value was measured.

Exhibit 9 is an excerpt of Apple Inc.'s note disclosure for its share-based compensation, which is composed of grants of RSUs and an employee stock purchase plan. Note that Apple Inc.'s share price at the last balance sheet date (25 September 2021) was USD146.10, up significantly over the prior three years, which is evident in the increase in the fair value of RSU grants. Second, Apple Inc.'s primary share-based compensation plan

necessarily have to wait until all stock grants under the prior plan have been made, however. Some issuers will have several active stock compensation plans outstanding.

Exhibit 9:

Apple Inc. 2021 Note Disclosure on Share-Based Compensation

2014 Employee Stock Plan

The 2014 Employee Stock Plan (the "2014 Plan") is a shareholder-approved plan that provides for broad-based equity grants to employees, including executive officers, and permits the granting of restricted stock units ("RSUs"), stock grants, performance-based awards, stock options and stock appreciation rights, as well as cash bonus awards. RSUs granted under the 2014 Plan generally vest over four years, based on continued employment, and are settled upon vesting in shares of the Company's common stock on a one-for-one basis. RSUs granted under the 2014 Plan reduce the number of shares available for grant under the plan by a factor of two times the number of RSUs granted. RSUs canceled and shares withheld to satisfy tax withholding obligations increase the number of shares available for grant under the 2014 Plan utilizing a factor of two times the number of RSUs canceled or shares withheld. All RSUs granted under the 2014 Plan have dividend equivalent rights ("DERs"), which entitle holders of RSUs to the same dividend value per share as holders of common stock. DERs are subject to the same vesting and other terms and conditions as the underlying RSUs. As of September 25, 2021, approximately 760 million shares were reserved for future issuance under the 2014 Plan. Shares subject to outstanding awards under the 2003 Employee Stock Plan that expire, are canceled or otherwise terminate, or are withheld to satisfy tax withholding obligations for RSUs, will also be available for awards under the 2014 Plan.

Employee Stock Purchase Plan

The Employee Stock Purchase Plan (the "Purchase Plan") is a shareholder-approved plan under which substantially all employees may voluntarily enroll to purchase the Company's common stock through payroll deductions at a price equal to 85% of the lower of the fair market values of the stock as of the beginning or the end of six-month offering periods. An employee's payroll deductions under the Purchase Plan are limited to 10% of the employee's compensation and employees may not purchase more than $25,000 of stock during any calendar year. As of September 25, 2021, approximately 96 million shares were reserved for future issuance under the Purchase Plan.

Restricted Stock Units

A summary of the Company's RSU activity and related information for 2021, 2020 and 2019, is as follows:

	Number of RSUs (thousands)	Weighted-Average Grant Date Fair Value per RSU	Aggregate Fair Value (millions)
Balance as of 29 September, 2018	368,618	33.65	
RSUs granted	147,409	53.99	
RSUs vested	(168,350)	33.80	
RSUs canceled	(21,609)	40.71	
Balance as of 28 September, 2019	326,068	42.30	
RSUs granted	156,800	59.20	
RSUs vested	(157,743)	40.29	

Balance as of 26 September, 2020	310,778	51.58	
RSUs granted	89,363	116.33	
RSUs vested	(145,766)	50.71	
RSUs canceled	(13,948)	68.95	
Balance as of 25 September, 2021	240,427	75.16	35,324

The fair value as of the respective vesting dates of RSUs was $19.0 billion, $10.8 billion and $8.6 billion for 2021, 2020 and 2019, respectively. The majority of RSUs that vested in 2021, 2020 and 2019 were net share settled such that the Company withheld shares with a value equivalent to the employees' obligation for the applicable income and other employment taxes, and remitted the cash to the appropriate taxing authorities. The total shares withheld were approximately 53 million, 56 million and 59 million for 2021, 2020 and 2019, respectively, and were based on the value of the RSUs on their respective vesting dates as determined by the Company's closing stock price. Total payments for the employees' tax obligations to taxing authorities were $6.8 billion, $3.9 billion and $3.0 billion in 2021, 2020 and 2019, respectively.

As of September 25, 2021, the total unrecognized compensation cost related to outstanding RSUs and stock options was $13.6 billion, which the Company expects to recognize over a weighted-average period of 2.5 years.

Source: Apple Inc., *2021 Annual Report* on Form 10-K, p. 47.

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Presentation and Disclosure

Pension Expense (Income)	521.0	624.0	611.0	626.0	591.0	591.0	–
Service Cost	281.0	376.0	135.0	86.0	63.0	67.0	–
Interest Cost	1,622.0	1,419.0	1,495.0	1,391.0	1,299.0	1,188.0	–
Expected Return on Plan Assets	1,413.0	-1,201.0	-1,356.0	-1,246.0	-1,281.0	-1,095.0	–
Other Postretirement Cost							
Pension Funded Status							
Fair Value of Plan Assets	1,112.0	50,956.0	53,364.0	53,471.0	53,200.0	53,500.0	38,700.0
Projected Benefit Obligation	0,200.0	57,803.0	60,546.0	54,611.0	57,700.0	54,300.0	41,600.0
Adjustments	–	–	–	–	600.0	300.0	200.0
Over(Under) Funded Pension	9,088.0	-6,847.0	-7,182.0	-1,140.0	-5,100.0	-1,100.0	-3,100.0
Actual Return (Loss) on Plan Assets	–	–	–	–	–	–	–
Employer Contribution	313.0	264.0	43.0	160.0	17.0	114.0	–
Benefits Paid	2,315.0	-2,449.0	-2,564.0	-2,764.0	-2,822.0	-2,748.0	–
Pension Funding Ratio	84.90	88.15	88.14	97.91	92.20	98.53	93.03
PBO to Market Capitalization	189.94	256.08	273.68	468.72	373.93	300.22	287.27

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